To enter into such a contract where the buyer of the option has the right but not the obligation to buy or sell an asset at a specific price, the buyer needs to pay a certain amount to the seller. This amount is called Options Premium or the cost of the option. After paying the option premium, the buyer of the option is not required to pay anything further in any circumstance i.e. they have limited their losses.

Both the call option buyer and put option buyer are supposed to pay this premium while entering the contract.

The premium amount is the risk taken by the Options buyer to enter into a contract where they get the right but not the obligation to buy or sell. In theory this might look like a very good position to be in with limited losses and unlimited profits, but in reality, it has to be really understood well to profit from these. We will understand the profitability under different circumstances when we learn about Option payoff charts.